Aram Mirkazemi and Sergiy Kostinsky are significant shareholders of Altium Limited shares and well above their minimum shareholding requirements. The board in its discretion approved their new LTI grant for the year ended 30 June 19 to be paid in cash. The grants were made under the Performance Rights Plan.

Performance Rights Plan

The Performance Rights Plan was designed to provide "ownership" incentives for Executives to build a Group with the ability to appreciate in value and to increase its ability to deliver revenue and margin growth and higher earnings over time.

Upon the performance conditions being satisfied the Performance Rights vested in three approximately equal tranches following the end of the financial year with no retesting of performance metrics. The 2018 plan was assessed based on EPS. The final year of vesting under this plan will be in the year ending 30 June 2021.

Minimum shareholding requirements

Altium has a policy to align the interests of its directors and key employees with those of its shareholders. All key employees participating in the LTI plan and all Non-executive Directors are required to reach, and then maintain a minimum shareholding requirement over a period of time.

The minimum shareholding requirement must be met within five years from the date of inclusion in the LTI plan or date of appointment for Non-executive Directors.

Participants are not permitted to sell or transfer shares if the minimum shareholding requirement is not met, with the exception of the need to sell to meet vesting tax requirements, and subject to Board approval.

The minimum shareholdings level is determined as a percentage of base remuneration (FAR) as follows:

Employee level	% of Base Remuneration
Non-executive Directors	200%
CEO	500%
Level 4 Executive	500%
Level 3 Executive	300%
Level 2 Executive	100%
Level 1 Executive	50%

Additional details of the minimum shareholding can be found in Section 8.

4. Link between Group performance and remuneration outcomes

The Altium Remuneration Framework is designed to align key employee remuneration to shareholder returns (in the form of capital appreciation and dividends). The table below shows the Group performance on key financial results and performance metrics over the last five years.

Altium's remuneration strategy has evolved over the past seven years and we believe that it is linked intrinsically to the success of the Group. Strong payout results for STI and LTI have reflected the strong financial performance of the Group. In addition, STI and LTI hurdles have changed over time to better reflect what is most important for Group growth.

	2019 US$'000	2018 US$'000	2017 US$'000	2016 US$'000	2015 US$'000
Revenue	171,819	140,176	110,865	93,597	80,216
EBITDA	62,721	44,869	33,254	27,430	22,697
EPS	40.57	28.86	21.70	17.89	12.47[1]
Profit for the year	52,893	37,489	28,077	23,020	15,398[1]
Dividend declared - AU cents	34	27	23	20	16
Share price - AU$	34.2	22.51	8.57	6.46	4.43
STI Achievement	100% - 150%[2]	131%	103%	97%	63%
STI performance hurdles	70% Revenue 30% EBITDA	50% Revenue 50% EBITDA	70% Revenue 30% EBITDA	50% Revenue 50% EBITDA	Different metrics related to subscriber growth, EPS and Product development
LTI Achievement	100%	100%	100%	100%	50%
LTI performance hurdles	50% Revenue 50% EPS	EPS	EPS	EPS	50% Subscriber growth 50% EPS

[1] Normalised EPS and Profit for the year excludes deferred tax asset of US$77 million recognised on the transfer of core business assets to the USA.

[2] The maximum STI payable based on the above performance hurdles is 100%, however based on achievement of individual personal goals, the overall achievement level may be modified up to 150% or down to 0%.